The bonds, issued in 1925, were convertible into Class *A* stock of Dodge Brothers, Inc., up to a maximum of $30,000,000 out of a total issue of $75,000,000. Conversion was set at the rates fixed in the following schedule:

First $5,000,000 converted, 1 share of *A* stock for $30 of bonds at par.
Second $5,000,000 converted, 1 share of *A* stock for $35 of bonds at par.
Third $5,000,000 converted, 1 share of *A* stock for $40 of bonds at par.
Fourth $5,000,000 converted, 1 share of *A* stock for $50 of bonds at par.
Fifth $5,000,000 converted, 1 share of *A* stock for $60 of bonds at par.
Sixth $5,000,000 converted, 1 share of *A* stock for $70 of bonds at par.

The indenture provided that in case of merger or consolidation the purchaser must assume the bonds and provide for their conversion into the same kind and amount of shares as were issuable in the merger or consolidation with respect to the number of shares of Class *A* stock to which the holder of the bond was entitled from time to time upon conversion.

The first $15,000,000 of the bonds were converted into Dodge Brothers Class *A* stock prior to the merger of that company with Chrysler Corp. in July 1928, and the assumption of the remaining bonds by the latter. In this acquisition five shares of the Class *A* stock into which the bonds were convertible were exchanged for one share of Chrysler Corp. common. Hence, in accordance with the indenture provisions, the fourth $5,000,000 of bonds were thereafter convertible at the rate of four shares of Chrysler common for each $1,000 bond (a conversion price of $250 per share for Chrysler). Likewise, the fifth and sixth units were convertible into Chrysler common at $300 and $350 per share, respectively. On May 1, 1935 the entire outstanding balance of $30,150,500 of these bonds was called for redemption.

NOTE 40

Spanish River Pulp & Paper Mills, Ltd., First Mortgage 6s, due in 1931, were issued in 1911 as a straight bond without profit-sharing privileges. A default in interest payments occurred in 1915–1916, resulting in a compromise between the bondholders and the company. Under this agreement the overdue interest payments of 1915–1916 were postponed until October 1922; sinking-fund payments were temporarily suspended; and the holders of these and certain bonds of affiliated companies were given the right to receive during the life of their bonds a pro rata share of 10% of the amount allocated in any year for dividends on the preferred and common stocks of the Spanish River Co.